



Profitability Analysis

This straightforward framework focuses on revenue sources, market factors impacting revenue, cost structures (avoidable and unavoidable), and cost optimisation strategies. It is crucial for addressing profitability challenges.

On the revenue side, consultants analyse product or service offerings, pricing strategies, market share, and customer segments. They identify potential areas for revenue growth or diversification.

On the cost side, they examine the organisation’s cost structure, classifying expenses as avoidable (those that can be reduced or eliminated) or Unavoidable (those that are essential for operations). They then explore strategies for optimising preventable costs, such as process improvements, supplier negotiations, or resource allocation.

